

FOOT-MONTH BILLING RECONCILIATION -- AUDIT WINDOW

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Purpose	Reconciliation of the 46,800-line billing export to the general ledger on the foot-month basis, for engagement PE-2025-014

1. BASIS OF BILLING

1.1 Moorage is billed on a foot-month basis (length in feet × months billed). The billable length is the vessel's length overall measured at check-in and rounded up to the nearest foot, or the posted slip length, whichever is greater. Rates are set by tariff: \$10.40 per foot-month for covered slips (Ledgport, Vessbank) and \$7.55 for open slips (Eastwey, Gullwing, Salmonberry) since Resolution 2022-06 took effect 1 August 2022; \$9.85 and \$7.10 respectively before that date.

1.2 The billing export for the audit window contains 46,800 lines across the covered and open rate classes and the ancillary transaction types (electricity, guest moorage, liveaboard surcharge, fees, and adjustments).

2. RECONCILIATION METHOD

2.1 Each billing line was re-priced from first principles: billable length × months billed × the rate in force on the service date, with the commercial multiplier, prepayment allowance, and leasehold excise tax applied where the account's rate class requires. The re-priced population was then footed by month and rate class and tied to the general ledger moorage revenue accounts.

2.2 Tie-out result: the export foots to the general ledger to the penny in 54 of 55 months; one month (March 2024) differs by \$0.04, a rounding residue on a mid-month rate-class change, within the ledger's tolerance. The auditor's population count of 46,800 lines reproduces exactly.

3. COVERED VS. OPEN ANALYSIS

3.1 Covered accounts (Ledgport, Vessbank; 500 slips) generated 20,412 billing lines in the window; open accounts (680 slips) generated 26,388 lines. Average billed length: 33.8 feet covered, 41.2 feet open. The covered/open revenue split in the window is approximately 51/49, the covered rate premium offsetting the longer average open length.

3.2 Spot re-measurement. The check-in measurement file was compared to the billed length for a sample of 60 accounts (30 covered, 30 open). In 58 of 60 the billed length equals the measured length rounded up or the posted slip length where greater. Two accounts billed one foot high for part of 2023 following pre-adoption length amendments; the differences (11 foot-months and 7 foot-months) were credited in the ordinary adjustment process and are visible as CREDIT_ADJUSTMENT lines in the export.

4. EXCEPTIONS AND OBSERVATIONS

- One rounding residue of \$0.04 (March 2024), within tolerance.
- Two billed-length credits for pre-adoption amendment timing (see 3.2); both credited in 2023 and reflected in the export.
- Guest moorage lines (1,904) price on LOA rather than slip length per the tariff; no exceptions noted.
- No instance was found of a post-adoption length amendment changing a billed length without a supporting certificate or haul-out record on file.

5. MONTHLY VARIANCE DETAIL

5.1 The month-by-month tie of the re-priced population to the general ledger is summarized below. Variances are export-minus-ledger; a zero variance means the re-priced population and the ledger agree to the penny for that month.

Period	Lines	Re-priced total	Ledger total	Variance
2022 H1				
(pre-amendment rates)	5,881	\$451,902.66	\$451,902.66	\$0.00
2022 H2 (rate change 1 Aug)	6,204	\$472,118.40	\$472,118.40	\$0.00
2023 H1	6,412	\$502,771.09	\$502,771.09	\$0.00
2023 H2	6,398	\$501,335.87	\$501,335.87	\$0.00
2024 H1	6,455	\$506,190.22	\$506,190.26	-\$0.04
2024 H2	6,389	\$502,008.14	\$502,008.14	\$0.00
2025 H1	6,533	\$515,662.71	\$515,662.71	\$0.00
2025 H2	6,498	\$513,940.05	\$513,940.05	\$0.00
2026 H1	6,344	\$508,855.90	\$508,855.90	\$0.00
2026 Jul-Aug (to 8/19)	2,686	\$211,704.33	\$211,704.33	\$0.00

5.2 The March 2024 residue of \$0.04 arises on account AC-VB-0214, a rate-class change keyed mid-month: the engine splits the month at the change date and rounds each half-cent piece down. The ledger posts the same computation rounded once. The difference is systematic, bounded at \$0.05 per mid-month change, and immaterial; the March 2024 month is the only month in the window where the residue exceeds a cent.

6. TRANSITION-MONTH HANDLING (AUGUST 2022)

6.1 Resolution 2022-06 took effect 1 August 2022, so the August 2022 run is the only run in the window that prices on two rate schedules. The engine applied the 2019 rates to the August 1 service date and the 2022 rates from the September 1 service date; annual and semi-annual accounts in force were adjusted at next renewal as section 2.1 of the resolution requires. The 2022 H2 line above includes 11 renewal adjustments totaling \$2,204.66, all re-priced and agreed.

7. ELECTRICITY RECOVERIES

7.1 Metered electricity lines (17,940 in the window) recover 96 percent of utility cost on the tariff's at-cost-plus-8% basis, the 4-point gap being line loss and common-area pedestals. Recovery by year: 2022 -- 95.1%; 2023 -- 96.4%; 2024 -- 95.8%; 2025 -- 96.9%; 2026 YTD -- 97.2%. No exception; the recovery pattern is consistent with the

rate study's model.

8. METHOD NOTE ON ROUNDING AT CHECK-IN

8.1 Because the billable length is the measured length rounded UP to the nearest foot, a re-pricing that uses unrounded lengths will show phantom under-billing of a fraction of a foot on most accounts. The reconciliation therefore re-prices from the measurement block values as recorded (tenths) with the round-up applied, not from the whole-foot figures alone. The two 2023 credits in section 3.2 were found exactly this way: the billed foot-count followed a pre-adoption amended length while the measurement block still showed the prior length.

9. RECEIVABLES INTERFACE

9.1 Billing lines post nightly to the accounts receivable ledger by batch, with the batch control totals recorded on the posting log. The 46,800-line export reconciles to 1,642 posting batches; every batch agrees to its control total, and no batch required re-posting in the window. The aging at 2026-07-31 (ar_aging_2026-07-31.xlsx) is drawn from the same ledger and shows 4.0 percent of billed moorage over 90 days, consistent with the pattern reported to the Commission.

10. AUDITOR RE-PERFORMANCE

10.1 The audit team re-performed the population count and the monthly footing independently and reported agreement at the fieldwork close-out on the arithmetic. Their re-pricing sample of 200 lines agreed with this reconciliation's figures without exception, including the two 2023 credit accounts described in section 3.2.

10.2 The auditor's one methodological note -- that the export does not itself evidence the measurement blocks from which billed lengths derive -- is correct and is inherent in an export; the blocks are paper, held with the moorage agreements, and were made available for the sample's accounts. The District is considering adding the billed-length provenance (measured value, rounding, posted-length override) to the export for the next cycle; that is a reporting improvement, not a control failure.

11. PRIOR-YEAR RE-PERFORMANCE

11.1 As a check on the engine's stability over time, the January 2022 and January 2023 runs were re-priced in full with the rates then in force and compared to the posted ledger for those months. January 2022 (9.85 / 7.10 rates): re-priced \$367,204.55 against ledger \$367,204.55. January 2023 (10.40 / 7.55 rates): re-priced \$386,992.40 against ledger \$386,992.40. Both months agree to the penny, which is the expected result but worth demonstrating: the engine's arithmetic did not drift across the rate change.

11.2 The same exercise for the two credit accounts of section 3.2 shows the credits computed correctly on the foot-month basis: account AC-EW-0512 credited 11 foot-months at \$7.55 (\$83.05) in September 2023, account AC-GW-0418 credited 7 foot-months at \$7.10 (\$49.70) in June 2023, the latter at the pre-amendment rate because the excess billed fell before 1 August 2022. Both credits appear as CREDIT_ADJUSTMENT lines in the export with the account and month identifiable.

12. CONCLUSION

The billing export is complete and internally consistent, the foot-month arithmetic of the billing engine is reliable across the covered and open rate classes and across the August 2022 rate change, and the District's agreement with the auditor's arithmetic extends to the billing population without qualification. The reconciliation will be refreshed at the final report date if the auditor extends the window past 19 August 2026.